



## Vancouver School of Economics Undergraduate Society

### **VSEUS Weekly Economics Gazette Newsletter**

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback to [finance@vseus.ca](mailto:finance@vseus.ca)!

#### **Market Overview:**

**North American markets rose this week, supported by the Fed's interest rate cuts. The S&P 500 gained 0.42%, reflecting renewed investor optimism caused a lower cost of capital.**



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### Article 1: Canada Factory and Wholesale Sales Continue to Bounce Back, Recovering From Tariff Hit

**Author, Source & Date Published:** Robb M. Stewart, WSJ, September 15, 2025

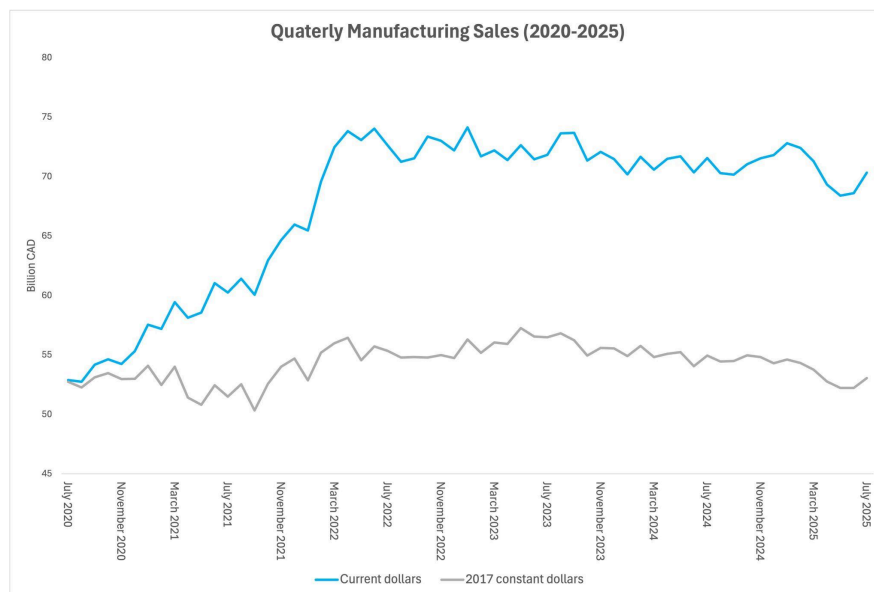
**Link:** [WSJ Article](#) & [Statistics Canada](#)

#### Summary:

Manufacturing sales **jumped 2.5% in July** (not seasonally adjusted). Similarly, wholesale revenues increased by 1.2% over the same period. **These figures suggest that Canadian demand is recovering from Trump's trade disruptions.**

#### Key Takeaways:

- Manufacturing increased by a surge in sales of motor vehicles **(+11.4%)** and motor vehicle parts **(+7.2%)** as well as increased production of aerospace products and parts **(+6.5%)**. Manufacturing sales increased the most in the industrial provinces, Quebec **(+3.4%)** and Ontario **(+2.8%)**.



Source: Statistics Canada, Manufacturing Sales (Accessed September 2025)

- This boost in key Canadian sectors hints at a normalization of trade relations between Canada and the U.S. The U.S. remains a vital commercial partner and is the main customer for Canadian auto and aerospace products, two sectors hit hardest during the peak of the trade crisis.



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- Canada appears to be improving its commercial relationship with the U.S., particularly after Prime Minister Carney's decision to withdraw tariffs on American goods. **Removing tariffs avoids passing price increases on to Canadian consumers, which in turn helps limit inflation.** Lower inflation gives the Bank of Canada (BoC) more room to continue cutting interest rates and stimulating the economy.

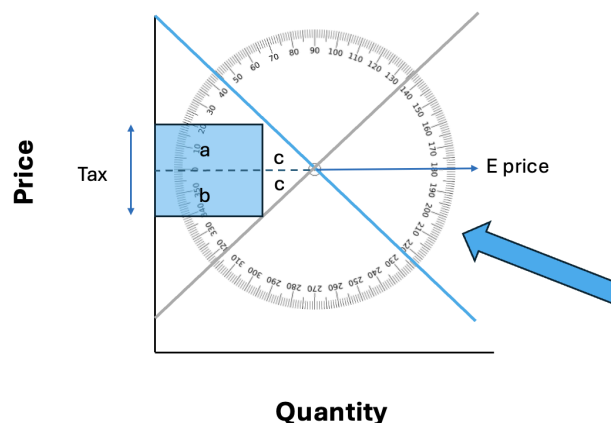
### Educational Angle:

Economics students should understand the logic behind Carney's decision to withdraw tariffs. It's a common misconception that governments can choose who pays the cost of a tariff (whether producers or consumers). In reality, this is **determined by the price elasticity<sup>1</sup> of demand and supply.**

- If demand is inelastic, consumers will continue buying despite price increases, so producers can pass on the cost.
- If demand is elastic, consumers will buy less when prices rise, forcing producers to absorb more of the cost.

### Let's not forget:

**A tariff is essentially a tax on consumption of foreign goods.** It may generate government revenue (shown as  $a+b$ ), but it also reduces total economic surplus by creating inefficiencies (present in the graph as  $c$ ) in the market.



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<sup>1</sup> Elasticity: How much quantity demanded/supplied changes from prices changes.



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### Article 2: Loonie Set to Gain as Fed Cuts and Canada Slows Easing Cycle

**Author, Source & Date Published:** Anya Andrianova & George Lei, Bloomberg, September 17, 2025.

**Link:** [WSJ Article](#)

#### Summary:

**The Canadian loonie is expected to appreciate over next quarters against the U.S dollar.**

#### Key Takeaways:

- The Federal Reserve **cut interest rates by 25 basis points** for the first time since December 2024. It is expected to cut rates two more times before the end of the year. This is particularly favorable for the Canadian dollar, as it will reduce the interest rate gap between the two economies. The Fed makes monetary policy decisions **eight times per year**, targeting the overnight rate.



[Yahoo Finance](#), Sept 17, 2025. Screenshot used under fair dealing for educational purposes.

- Interest rates are the primary driver of capital flows toward specific currencies. Global markets tend to favor currencies that offer the **highest return relative to risk**. As a result, because the Fed is expected to make further cuts this year, the Canadian dollar will appear more attractive to global investors.



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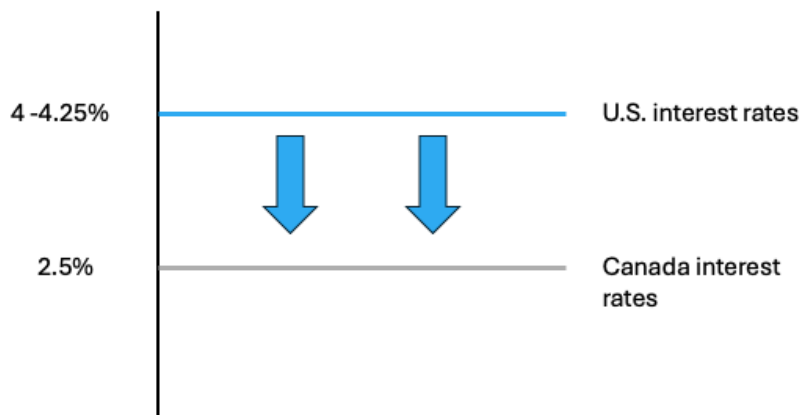
- Additionally, Carney's government has announced that major infrastructure projects will be fast-tracked, providing fiscal stimulus to the economy. This matters because the Bank of Canada (BoC) must internalize this fiscal expansion when setting its monetary policy. If the government is injecting substantial spending into the economy, there may be less need to lower interest rates.

### Educational Angle:

Students should note that there is a key difference between how the Federal Reserve and the Bank of Canada set interest rates.

- The Fed sets a target range (typically 25 basis points wide), but it does not have full control over the exact **effective rate**<sup>2</sup>, which fluctuates within that range based on market operations.
- The Bank of Canada, by contrast, sets a specific target rate and maintains tighter control through a **corridor system**<sup>3</sup> (bounded by the Bank Rate and Deposit Rate).

It could be said that the BoC has a firmer grip on short-term rates compared to the Fed.



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<sup>2</sup> Effective Rate: Is the actual interest rate that banks use when lending to each other

<sup>3</sup> Corridor System: Is when a central bank controls short-term interest rates by setting a floor and a ceiling around its target rate.



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### Article 3: Intel Soars After Nvidia Makes \$5 Billion Investment

**Author, Source & Date Published:** Ian King, Bloomberg, September 18, 2025

**Link:** [Bloomberg article](#)

#### Summary:

**Nvidia announced a \$5 billion investment in Intel, whose stock surged +24.83% in the last week.** The two companies will collaborate to develop new chips critical for data center infrastructure.

#### Key Takeaways:

- Over the past year, Intel struggled competitively due to its strategy of handling both chip design and manufacturing in-house. This **vertical integration**<sup>4</sup> proved inefficient compared to competitors like Nvidia and AMD, who focus on **specialized**<sup>5</sup> stages of chip development.
- To support domestic production, the U.S. government recently acquired a 10% stake in Intel, boosting its cash flow and enabling increased capital expenditures (Capex). Intel's existing infrastructure and U.S.-based manufacturing aligns with Trump's manufacturing agenda.
- Nvidia's investment appears to serve a dual purpose. Beyond technological collaboration, it may act as a soft-power play to build goodwill with the Trump administration, especially as Nvidia negotiates for permission to resume chip exports to China.

#### Educational Angle:

Students should recognize that Nvidia's \$5B investment is as much political as it is strategic. While Intel's CPUs remain essential to data centers, the underlying motive likely involves influencing the White House trade policy.

Nvidia is concerned that Trump's export restrictions may accelerate the rise of domestic Chinese competitors, which could threaten Nvidia's global dominance. Ironically, Trump's restrictions may be catalyzing long-term strength in China's chip industry, by providing them a safe environment where to grow their industry without having to compete with Nvidia.

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<sup>4</sup> Vertical Integration: When a company controls multiple stages of its supply chain

<sup>5</sup> Specialization: When a company focuses on a specific stage of production or a specific sector.